



Clark's core advice to traders—do more of what works and less of what doesn't—sounds so commonsensical that it may seem almost unnecessary to state. But what is surprising is how many traders fail to adhere to this seemingly obvious principle. Examples abound. Some traders may be good at taking well-thought-out longer-term positions, but then also take short-term trades based on whims in which they have no edge. Other traders have effective systems, but get bored following a computerized approach and override their own system with discretionary decisions that degrade overall performance. There is no shortage of examples of traders deviating from what they do best, whether due to boredom, or a sense that if they are good in one type of trade, they should be good at other types of trades as well. Clark's message to traders is that they need to figure out exactly what they are best in and then focus on doing those trades.

Many traders may not even be fully aware of where they are making and losing money. One useful exercise traders can do is to analyze their past trades by segmenting winners and losers. Often, such analysis will reveal patterns with certain types of trades being predominant in either the winning or losing categories. If indeed you find that certain types of trades are making money and other types of trades are losing money, then as Clark advises: Do more of what works and less of what doesn't.

As a related point, Clark cautions traders against diversifying away from their expertise. Some traders succeed because they are good at doing one type of trade. This success can often encourage traders to expand into other areas in which they may not have any expertise or particular edge.

Traders focus almost entirely on where to enter a trade. In reality, the entry size is often more important than the entry price because if the size is too large, a trader will be more likely to exit a good trade on a meaningless adverse price move. The larger the position, the greater the danger that trading decisions will be driven by fear rather than by judgment and experience. According to Clark, one way of knowing your position is too large is if you wake up thinking about it. You also need to be sure that your methodology is consistent with your risk tolerance. For example, if your trade implementation strategy allows for building a three-unit position, but your natural risk tolerance is only one unit, you can easily end up panicking